

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 734

BY REVENUE AND TAXATION COMMITTEE

AN ACT

RELATING TO TAXATION; AMENDING SECTION 63-3503B, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE ALLOTMENT AND APPORTIONMENT OF TAX DUE FROM PRODUCERS OF ELECTRICITY BY MEANS OF WIND ENERGY, SOLAR ENERGY, OR GEOTHERMAL ENERGY BY THE STATE TAX COMMISSION AND TO MAKE TECHNICAL CORRECTIONS; DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 63-3503B, Idaho Code, be, and the same is hereby amended to read as follows:

63-3503B. FILING OPERATORS' STATEMENTS -- ALLOTMENT AND APPORTIONMENT OF TAX DUE FROM PRODUCERS OF ELECTRICITY BY MEANS OF WIND ENERGY, SOLAR ENERGY, OR GEOTHERMAL ENERGY BY STATE TAX COMMISSION. (1) Every producer of electricity by means of wind energy, by means of solar energy, or by means of geothermal energy in this state shall file with the state tax commission of the state of Idaho an operator's statement in the manner as provided for in section 63-404, Idaho Code, and shall include thereon a statement of the prior calendar year's gross wind energy earnings, gross solar energy earnings, or gross geothermal energy earnings.

(2) Upon examining and verifying said statement, the state tax commission shall compute the amount of the wind energy tax, solar energy tax, or the geothermal energy tax based on the gross wind energy earnings, gross solar energy earnings, or the gross geothermal energy earnings and shall allot to each county in which the property of such producer is situated, and otherwise exempted from taxation by section 63-602JJ, Idaho Code, either: that proportion of the total wind energy tax, that proportion of the total solar energy tax, or that proportion of the total geothermal energy tax of such producer shown to be due as the same proportion that the total original cost of property situated in such county, and otherwise exempted from taxation by section 63-602JJ, Idaho Code, bears to the total original cost of such property of such producer for the wind energy project, of such producer for the solar energy project, or of such producer for the geothermal energy project.

(3) The state tax commission shall then, for each county, apportion the wind energy tax, solar energy tax, or geothermal energy tax so allotted to such county among the several taxing units thereof within which any property of such producer is situated, and otherwise exempted from taxation by section 63-602JJ, Idaho Code, by apportioning to each such taxing unit that proportion of the wind energy tax, solar energy tax, or geothermal energy tax so allotted to such county. For such apportionment, the state tax commission shall calculate:

(a) Calculate the weighted original cost which shall be the product of the original cost of such property within such taxing unit times such

1 taxing unit's property tax levy rate for the prior year ~~and; provided~~
2 that if a taxing unit that is a school district did not impose a supple-
3 mental levy pursuant to section 33-802, Idaho Code, in the prior year,
4 the state tax commission shall calculate the weighted original cost for
5 such school district using the greater of such school district's prop-
6 erty tax levy rate for the prior year or the property tax levy rate of the
7 county in which such property is situated for the prior year;

8 (b) Calculate the weighted apportionment rate which shall be the ratio
9 of the wind energy tax, of the solar energy tax, or of the geothermal en-
10 ergy tax, as the case may be, allotted to such county, to the aggregate
11 weighted original cost for all such taxing units within which the prop-
12 erty is located ~~and then shall calculate; and~~

13 (c) Calculate the apportionment of the wind energy tax, solar energy
14 tax, or geothermal energy tax for each such taxing unit to be equal to
15 the product of the weighted original cost times the weighted apportion-
16 ment rate.

17 (4) The state tax commission shall, on or before the third Monday in
18 May, notify the state superintendent of public instruction, the county au-
19 ditor, and the county treasurer of such allotment and apportionment and the
20 amounts thereof.

21 (5) On or before the first Monday in August, the county auditor shall
22 notify the appropriate taxing units of the amount of wind energy tax, the
23 amount of solar energy tax, or the amount of the geothermal energy tax be-
24 ing apportioned and the amount of the solar energy tax distributed to each of
25 these taxing units during the twelve (12) months immediately preceding July
26 1 of the current tax year.

27 SECTION 2. An emergency existing therefor, which emergency is hereby
28 declared to exist, this act shall be in full force and effect on and after its
29 passage and approval, and retroactively to January 1, 2026.